

Moral hazard



Dave insures his mobile phone, and knowing that he is now covered for any damage by the insurance company, he begins to treat his phone rather carelessly, claiming the costs of fixing various breakages. This situation, in which Dave is able to affect the probability of the event (phone damage) under which the insurance company pays out, is an example of moral hazard. The problem in this case is that the insurance company cannot monitor each of its customers and may end up paying out more than expected: if it could it would charge higher premiums to careless people like Dave. But because it can't, the company charges higher premiums for everybody. It may even stop selling certain kinds of insurance. The firm's lack of information hobbles the market.

Many economists have claimed moral hazard contributed to the financial crises that began in 2007: if banks are considered 'too

big to fail' they may take on overly risky investments, knowing that they will be bailed out by government later on.